Medbury Healthcare Group

The whole building: NGN 7,889 M of cost over five years.

664.3 sqm, per the medical plan. Ground floor public and diagnostic, first floor clinics, procedures and 9 observation beds, the chalet a full laboratory, the boys' quarters engineering, store and IT.

	Fit-out	Year 1	Year 2	Year 3	Year 4	Year 5	Five years
CAPITAL, spent once							
Diagnostics	362.0						362.0
Clinical	100.0						100.0
Systems and fit	98.0						98.0
Launch and stock	136.0						136.0
Capital subtotal	696.0						696.0
DIRECT COST, moves with volume							
Clinician fees and consultant share		154.1	204.4	235.6	294.5	294.5	1,183
Laboratory reagents and imaging consumables		70.1	92.4	105.4	131.9	131.9	531.7
Pharmacy cost of goods		50.9	67.1	76.5	95.7	95.7	385.9
Procedure, observation and executive workup		102.5	144.1	179.6	218.5	234.7	879.4
Direct cost subtotal		377.6	507.9	597.0	740.6	756.8	2,980
FIXED COST, falls due whether or not a patient comes							
Occupancy, 664.3 sqm at NGN 470,000 a sqm	35.1	312.2	349.7	391.7	438.6	491.3	2,019
Personnel, 37 posts loaded	27.9	248.0	248.0	248.0	248.0	248.0	1,268
Marketing and demand generation	7.9	70.0	75.0	82.5	90.8	99.8	426.0
As-Salam consultant travel and accommodation	3.1	28.0	28.0	30.8	33.9	37.3	161.2
Biomedical maintenance contracts	2.5	22.0	26.0	30.0	33.0	36.0	149.5
Office, business travel, misc and licences	3.6	32.0	33.8	36.8	40.0	43.6	189.8
Fixed cost subtotal	80.1	712.2	760.5	819.8	884.3	956.0	4,213
TOTAL CASH OUT	776.1	1,090	1,268	1,417	1,625	1,713	7,889

Capital of NGN 696 M is spent once. Running it costs NGN 7,193 M over five years, of which NGN 4,213 M is fixed and falls due whether or not a patient comes. Direct cost is only NGN 2,980 M, 38 per cent of the total, which is what a diagnostic hub looks like: you buy the analyser once and the marginal test is cheap. Revenue over the same five years is NGN 11,444 M.

Medbury Healthcare Group

Its own rooms only: NGN 1,972 M of cost over five years.

113.0 sqm of the ground floor, a fitted demise inside Lyfe Place. The laboratory, the imaging suite, the dispensary and the building itself belong to other Medbury businesses, and so does the revenue they earn.

	Fit-out	Year 1	Year 2	Year 3	Year 4	Year 5	Five years
CAPITAL, spent once							
Clinical equipment, 5 rooms	**16.0**						**16.0**
Fit, furniture, IT and branding	**17.0**						**17.0**
Launch campaign, licence and registration	**44.0**						**44.0**
Working capital	**25.0**						**25.0**
Capital subtotal	**102.0**						**102.0**
DIRECT COST, moves with volume							
Clinician fees		**87.9**	**125.7**	**154.4**	**169.6**	**169.6**	**707.1**
Consultant share of the referral		**7.1**	**12.0**	**17.0**	**19.7**	**19.7**	**75.6**
Consumables		**7.6**	**10.8**	**13.2**	**14.4**	**14.4**	**60.4**
Direct cost subtotal		**102.5**	**148.5**	**184.6**	**203.7**	**203.7**	**843.1**
FIXED COST, falls due whether or not a patient comes							
Occupancy, 113.0 sqm at NGN 470,000 a sqm	**6.0**	**53.1**	**59.5**	**66.6**	**74.6**	**83.6**	**343.4**
Personnel, 5 posts loaded	**3.4**	**30.0**	**30.0**	**30.0**	**30.0**	**30.0**	**153.4**
Marketing and demand generation	**5.1**	**45.0**	**45.0**	**49.5**	**54.5**	**59.9**	**259.0**
As-Salam consultant travel and accommodation	**3.2**	**28.0**	**28.0**	**30.8**	**33.9**	**37.3**	**161.2**
Office, business travel, misc and licences	**1.9**	**17.0**	**19.9**	**21.7**	**23.7**	**25.7**	**109.9**
Fixed cost subtotal	**19.5**	**173.1**	**182.4**	**198.6**	**216.7**	**236.5**	**1,027**
TOTAL CASH OUT	**121.5**	**275.7**	**330.9**	**383.3**	**420.4**	**440.2**	**1,972**

A seventh of the capital, NGN 102 M against NGN 696 M, and the rooms arrive fitted because the partitions, power and cooling are the landlord's and come back through the occupancy rate. But it owns no laboratory, no X-ray room and no dispensary, so five year revenue is NGN 2,954 M against NGN 11,444 M. The question is not which is cheaper. It is whether Medbury would rather own the diagnostics inside this SPV at 49 per cent, or outside it at 100.